

2.2 True Value & Market Value

In the previous chapter we learned about earnings, its size and quality and how to evaluate a company based on them. In this section, we will understand how the stock price actually move.

We will be going through fundamental terms True value and Market value.

Value of a Stock

True Value

True value or the intrinsic value of a company is based on the fundamentals of a company its strengths and growth potential. Though this number is not quoted anywhere.

- This is subjective in nature and calculated after analysis of the company.
- Different people can have different true value for a company.

Market Value

Market value is the current price of a company's stock. It is the price quoted at which the stock is traded. (You can see this on CNBC or stock market applications)

What should be the true value of any given company's market share?

The true value, unlike market value is not quoted anywhere.